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FINALTERM EXAMINATION
MGT101- Financial Accounting

Question No: 1 (Marks: 1) - Please choose one

Shares for which amount is paid by public are called _____ shares.

► Paid up
► Authorized
► Bonus shares
► All are correct options

Question No: 2 (Marks: 1) - Please choose one

Term "Credit" means_____ by the business.

► Receiving of benefits
► It has no effect on business
► Providing of benefits
► It depends upon items

Question No: 3 (Marks: 1) - Please choose one

Which of the following is used to record financial transactions in chronological (day-to-day) order?

► Voucher
► General Journal
► General Ledger
► Trial balance

Question No: 4 (Marks: 1) - Please choose one

Which of the following is **CORRECT** about the flow of recording a transaction?

► Occurrence of event – voucher—Journal—Ledger—Trial Balance—profit and loss account—Balance Sheet

► Occurrence of event—Journal – voucher —Ledger—Trial Balance—profit and loss account—Balance Sheet

► Occurrence of event—Ledger – voucher—Journal—Trial Balance—profit and loss account—Balance Sheet

► Occurrence of event—Trial Balance – voucher—Journal—Ledger—profit and loss account—Balance Sheet

Question No: 5 (Marks: 1) - Please choose one

In an account, if credit side < debit side then the balance is known as:

- ► Negative Balance
- ► Debit Balance
- ► Positive Balance
- ► Credit Balance

Question No: 6 (Marks: 1) - Please choose one

Which one of the following is a type of General Ledger?

- ► Book of original entry
- ► 'T' Account
- ► Source document
- ► Day book

Question No: 7 (Marks: 1) - Please choose one

Which of the following is **NOT** considered a part of financial statements?

- ► General Ledger
- ► Balance Sheet
- ► Profit and Loss Account
- ► Cash Flow Statement

Question No: 8 (Marks: 1) - Please choose one

The difference between current Assets and current liabilities is known as:

- ► Working capital
- ► Opening stock
- ► Closing stock
- ► Owner's equity

Question No: 9 (Marks: 1) - Please choose one

If the Company ABC has current assets Rs. 100,000, current liabilities Rs. 75,000 and fixed assets Rs. 200,000, what would be the value of working capital?

- ► Rs. 25,000
- ► Rs. 1, 00,000
- ► Rs. 1, 75,000
- ► Rs. 3, 00,000

Question No: 10 (Marks: 1) - Please choose one

If, Cost of machine = Rs.400, 000
Useful life = 5 years
Residual value = Rs.25, 000
The depreciation of machine per year using straight line method is?

- Rs. 160,000
- Rs. 96,000
- Rs. 75,000
- Rs. 57,600

Question No: 11 (Marks: 1) - Please choose one

The cost of moving plant and machinery to a new site will be treated as:

- Revenue expense
- Capital expense
- Administrative expense
- Operating expense

Question No: 12 (Marks: 1) - Please choose one

Which of the following account balance is shown on credit side of Trial Balance? (It is assumed that all account balances are shown on normal balance)

- Cash account
- Furniture account
- Vehicle account
- Capital account

Question No: 13 (Marks: 1) - Please choose one

Find out the missing value of an Accounting Equation with the help of given data:

Total Assets	Rs. 34,500
Accounts payable	Rs. 1, 000
Other liabilities	Rs. 11,500

- Rs. 22,000 owner's equity
- Rs. 23, 000 owner's equity
- Rs. 24,000 owner's equity
- Rs. 46,000 owner's equity

Question No: 14 (Marks: 1) - Please choose one

Consider the following data:

Particulars	Rs.
Assets	?
Owner's equity	1,50,000
Liabilities	1,00,000

- ► Rs. 49,000
- ► Rs. 55,000
- ► Rs. 50,000
- ► Rs. 2, 50,000

Question No: 15 (Marks: 1) - Please choose one

Particulars	Rs.
Opening written down value of machine	Rs. 2,00,000
Cost of new machine purchased during the year	Rs. 50,000
Depreciation during the year	Rs. 25,000
Closing written down value (WDV) of machines	?

- ► Rs. 2, 25,000
- ► Rs. 2, 50,000
- ► Rs. 2, 75,000
- ► Rs. 75,000

Question No: 16 (Marks: 1) - Please choose one

A debit balance in the Bank Statement indicates:

- ► Cash at bank
- ► Bank overdraft
- ► Overpayment to creditors
- ► Cash in hand

Question No: 17 (Marks: 1) - Please choose one

Which of the following best describes unpresented cheques?

- ► Cheques received on behalf of the business by the bank
- ► Cheques drawn but yet to be recorded in the bank records
- ► Cheques issued by the bank not recorded in business records
- ► Cheques received but yet to be recorded in the bank records

Question No: 18 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be shown in profit & loss account.

Particulars	Rs.
Bad debts	3,600
Provision for doubtful debts (old)	6,000
Current year's provision (new)	1,500

- ► Rs. (5,100)
- ► Rs. 5,100
- ► Rs. (900)
- ► Rs. 900

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Question No: 19 (Marks: 1) - Please choose one

It is supposed that on 31st December, 2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 5 % of the sundry debtors are doubtful. Actual bad debts are Rs. 1600. What amount of new provision for doubtful debts will be credited in profit & loss account.

- ► Rs. 3,600
- ► Rs. 2,000
- ► Rs. 1,600
- ► Rs. 400

Question No: 20 (Marks: 1) - Please choose one

Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Closing value of stock	40,000
Bad Debts (Given in trial balance)	500
Old provisions (Given in trial balance)	800
Sundry Debtors (Given in trial balance)	44,500
Provision for doubtful debts @ 5%	
Which amount of new provision will be deducted from Sundry Debtors	?

- ► Rs. 2,225
- ► Rs. 2,525
- ► Rs. 1,925
- ► Rs. 3,025

Question No: 21 (Marks: 1) - Please choose one

It is supposed that on 31-12-2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 5 % of the sundry debtors are doubtful. It is also suppose that during the year 2008 actual bad debts were Rs. 1,600. What entry will pass to create provision for doubtful debts?

- ► Profit & Loss a/c Rs. 2,000 (Dr) & Provision for doubtful debts a/c Rs. 2,000 (Cr)
- ► Provision for doubtful debts a/c Rs. 2,000 (Dr) & Profit & Loss a/c Rs. 2,000 (Cr)
- ► Provision for doubtful debts a/c Rs. 1,600 (Dr) & Profit & Loss a/c Rs. 1,600 (Cr)
- ► Profit & Loss a/c Rs. 1,600 (Dr) & Provision for doubtful debts a/c Rs. 1,600 (Cr)

Question No: 22 (Marks: 1) - Please choose one

Which of the following is **NOT** based on the concept of double entry book keeping system?

- ► Subsidiary Ledgers
- ► Creditors Control Accounts
- ► Debtors Control Accounts
- ► All of the given options

Question No: 23 (Marks: 1) - Please choose one

Which of the following is an item of a debtors control account?

- ► Cash sale
- ► Credit sales
- ► Credit purchase
- ► Cash purchases

Question No: 24 (Marks: 1) - Please choose one

Which of the following entry is passed to record discount allowed in control account?

- ► Discount Allowed (Dr) and Debtors Control A/c (Cr)
- ► Discount Allowed (Dr) and Debtors A/c (Cr)
- ► Debtors Control A/c (Dr) and Discount Allowed (Cr)
- ► Debtors A/c (Dr) and Discount Allowed (Cr)

Question No: 25 (Marks: 1) - Please choose one

Transaction that has been completely forgotten to enter is called:

- ► Error of principle
- ► Error of omission
- ► Error of commission
- ► Error of original entry

Question No: 26 (Marks: 1) - Please choose one

Which of the following account will be credited when a typewriter is sold that has been used in the office?

- ► Cash Account
- ► Sales Account
- ► Purchase Account
- ► Office Equipment Account

Question No: 27 (Marks: 1) - Please choose one

Which of the following item must be recorded in the adjusted Cash Book in order to bring it in line with the entries in the Bank Statement?

- ► Bank charges
- ► An error on the Bank Statement

- ► An uncredited deposit
- ► An unpresented cheque

Question No: 28 (Marks: 1) - Please choose one

It is supposed that on 31st December, 2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 10% of the sundry debtors are doubtful. Actual bad debts are Rs. 1600. What amount of new provision for doubtful debts will be deducted from Sundry debtors?

- ► Rs. 3,600
- ► Rs. 4,000
- ► Rs. 1,600
- ► Rs. 2, 400

Question No: 29 (Marks: 1) - Please choose one

Consider the following table:

	Financial statement item	**Classification**
A.	Inventory	Current asset
B.	Tangible assets	Non-current asset
C.	Accrued expenses	Current asset
D.	Bonds payable	Long-term liabilities

Identify the row above, showing an **INCORRECT** financial-statement classification?

- ► Row A
- ► Row B
- ► Row C
- ► Row D

Question No: 30 (Marks: 1) - Please choose one

Which financial statement show what a business owes at a particular point in time?

- ► A cash flow statement
- ► The bank statement for the business
- ► A balance sheet
- ► A statement of retained earnings

Question No: 31 (Marks: 1) - Please choose one

Which of the following account is affected from the Drawings of cash in sole-proprietorship business?

- ► Capital account
- ► Shareholder account
- ► Liability account
- ► Expense account

Question No: 32 (Marks: 1) - Please choose one

Capital account of sole proprietors is affected by which of the following items?

a. Profit & Loss account
b. Drawings account
c. Balances of capital account

► a,b
► b,c
► a,c
► a,b,c

Question No: 33 (Marks: 1) - Please choose one

When closing stock is given in trial balance, then it will effect:

► Trading account only
► Balance sheet only
► Owner's equity only
► Both Trading account and Balance sheet

Question No: 34 (Marks: 1) - Please choose one

Fixed Asset (WDV) + _____ = Total assets Employed

► Working capital
► Total liabilities
► Total assets
► Current assets

Question No: 35 (Marks: 1) - Please choose one

A, B, C are partners. Their profit sharing ratio is equal. Capital balance on July 1st of Partner A --- Rs. 40,000 Partner B --- Rs. 30,000 and Partner C--- Rs. 20,000.Their private property of Partner A is Rs.15,000, Partner B is Rs. 7,000 and Partner C is Rs. 1,500. What is the level of their liabilities under the partnership firm?

► Partner A—Rs. 40,000, Partner B---- Rs. 30,000, Partner C – 20,000
► Partner A—Rs. 40,000, Partner B---- Rs. 30,000, Partner C – 21,500
► Partner A—Rs. 40,000, Partner B---- Rs. 37,000, Partner C – 20,000
► Partner A—Rs. 55,000, Partner B---- Rs. 37,000, Partner C – 21,500

Question No: 36 (Marks: 1) - Please choose one

Share premium account is used for what?

► Write off Preliminary Expenses of the company.
► Write off the balance amount, in issuing shares on discount.
► Issue fully paid Bonus Shares.
► All of the given options

Question No: 37 (Marks: 1) - Please choose one

Which of the following is the most important document of the company?

► Memorandum of Association
► Articles of Association
► Prospectus
► Annual Report

Question No: 38 (Marks: 1) - Please choose one

Which of the following documents contains rules and regulations for internal management of the company?

► Memorandum of Association
► Articles of Association
► Prospectus
► Statutory Declaration

Question No: 39 (Marks: 1) - Please choose one

A firm may earn profit during an accounting period but have less money in the bank at the end of the period then it had at the beginning. Which of the followings, on its own, could explain this?

► Not paying invoices received from creditors
► The sale of fixed assets during the period
► An increase in trade debtors over the course of the period
► An increase in the depreciation charge relative to the previous accounting period

Question No: 40 (Marks: 1) - Please choose one

Which of the following statement in **NOT TRUE** about the limited company form of business?

► The limited company form of business allows ownership of the business to be spread amongst many people
► Shareholders can appoint professionals
► Shareholders are personally liable for all the liabilities incurred by the business
► Regular filing of information about the affairs of the company is a legal requirement

Question No: 41 (Marks: 1) - Please choose one

Which of the following ratio tells about “How a company would repays its loans”

► Mark up cover ratio
► Acid test ratio
► Current ratio
► Debt Equity ratio

Question No: 42 (Marks: 1) - Please choose one

If Cost of asset=Rs. 100,000, Residual Value (RV) = Rs. 20,000 and Life = 3 years, what is the depreciation rate under reducing balance method?

- ► 10%
- ► 22%
- ► 42%
- ► 52%

Question No: 43 (Marks: 1) - Please choose one

Mr.” A” sold goods for Rs. 300,000 to Mr. “B”, Rs. 300,000 will be treated as _____ for business of Mr. "A".

- ► Revenue
- ► Net profit
- ► Gross profit
- ► Operating profit

Question No: 44 (Marks: 1) - Please choose one

An uncollectible account receivable is also termed as:

- ► Asset
- ► Uncollectible asset
- ► Uncollectible accounts expense
- ► None of the given options

Question No: 45 (Marks: 1) - Please choose one

Payment is made of a company’s purchases on credit, which of the following is correct:

- ► Debit stock account and credit creditors account
- ► Debit creditors account and credit cash account
- ► Debit cash account and credit creditors account
- ► Debit stock account and credit cash account

Question No: 46 (Marks: 1) - Please choose one

ABC company makes payment of Rs.50,000 to Mr. Ali Zafar, who is a debtor, is wrongly recorded in the account of Zafar Ali. The error is classified as:

- ► Error of commission
- ► Error of omission
- ► Error of original entry
- ► Error of principle

Question No: 47 (Marks: 1) - Please choose one

Deferred revenues will become revenue when they are:

- ► Realized
- ► Earned
- ► Incurred
- ► Paid

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Question No: 48 (Marks: 1) - Please choose one

The weekly or biweekly compensation received by hourly-paid employees is called:

- ► Salary
- ► Wages
- ► Income
- ► Profit

Question No: 49 (Marks: 1) - Please choose one

Interest expenses of Epler Corporation shows a debit balance of Rs.200 in its unadjusted trial balance and Rs.250 in adjusted trial balance. Which of the following account will be credited in adjusting entry?

- ► Interest expense
- ► Interest payable
- ► Prepaid interest
- ► Interest paid

Question No: 50 (Marks: 1) - Please choose one

Insurance premiums paid in advance but not yet expired are reported in which of the following account?

- ► Insurance payable
- ► Prepaid insurance
- ► Advance payment account
- ► Insurance expense

Question No: 51 (Marks: 1) - Please choose one

Dillon Company sold marketable securities Costing Rs.60,000 for Rs.72,000 cash. In the company's income statement and statement of cash flows, respectively, this will appear as:

- ► A Rs.72,000 gain and a Rs.6,000 cash receipt
- ► A Rs.12,000 gain and a Rs.72,000 cash receipt
- ► A Rs.12,000 gain and a Rs.60,000 cash receipt
- ► A Rs.72,000 sale and a Rs.72,000 cash receipt

Question No: 52 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership with an equal share in profit or loss. The agreement provides that Mr. A will receive Rs.10,000 and Mr. B will receive Rs.8,000 as salary allowance. The net income for the year is Rs.85,000. What will be the total share of Mr. B?

- ► Rs.52,500
- ► Rs.42,500
- ► Rs.41,500
- ► Rs.50,500

Question No: 53 (Marks: 1) - Please choose one

Which of the following is quoted company?

- ► Private Limited Company
- ► Public Limited Company
- ► Listed company
- ► Non Listed Company

Question No: 54 (Marks: 1) - Please choose one

Which of the following is one of the major factors affecting the market value of a company's shares?

- ► Current ratio
- ► Earning per share
- ► Return on investment
- ► Return on asset

Question No: 55 (Marks: 3)

You are required to pass rectifying entries of the following errors:

1. Sales of old furniture has been credited to sales account for Rs. 200.
2. Salaries paid Rs. 20,000 were wrongly debited to rent a/c.

Question No: 56 (Marks: 5)

3. **Discuss share premium with an example.**
4. **If dividend is announced in percentage by the directors of the company how it will be calculated.**

Question No: 57 (Marks: 5)

ABC Company purchased goods of Rs.150,000 on credit from which goods of Rs.20,000 were defected and returned. Company received 2% discount at the time of payment from the supplier.

Required:

5. What will be the amount of discount received by the company?
6. Also show the journal entries

Question No: 58 (Marks: 10)

The following Trial balance is taken out from the books of Rahman & Sons as on 31st December, 2008.

	Dr.	**Cr.**
	Rs.	**Rs.**
Sales		204,000
Capital		120,000

Bank overdraft		103,560
Sundry Creditors		120,000
Opening Stock	60,400	
Purchases	231,600	
Sundry Debtors	109,660	
Returns Inwards	3,640	
General Expenses	6,980	
Plant	22,620	
Wages & Salaries	16,740	
Building	50,000	
Cash in Hand	680	
Cash at bank	8,720	
Drawings	16,960	
Motive Power	2,300	
Dock &clearing Charges	1,300	
Coal, Gas, Water	1,700	
Salaries	9,820	
Interest on O/D	4,440	
Rent rates Taxes	1,400	
Discount Allowed	2,000	
Interest received		3,400
	550,960	**550,960**

Requirement:
Prepare The Trading and Profit & Loss account of the business for the year ended. Closing Stock is valued at Rs.40, 000.

Question No: 59 (Marks: 10)

Adil and Bilal make up their accounts annually to 31st December and have been in partnership for some years. Interest is charged on drawings at the rate of 10% per annum and is allowed on capitals also at 10% per annum. Bilal receives salary Rs. 4,000 per annum. The balance of profits or losses is to be shared: Adil 2/3, Bilal 1/3.
At 1st January, 2007, the following balances appeared in the firm's books:

Capital account: Adil Bilal	Rs. 10,000 Rs. 6,000
Current Account: Adil Bilal	Rs. 5,000 (Cr) Rs. 3,000 (Cr)

The net profit for that year was amounted to Rs. 15,000. At that date the balances on partners' drawings accounts were: Adil Rs. 6,000 and Bilal Rs. 5,000. It is assumed that no capital introduced during the year

Required:
(1) The profit & Loss Appropriation account of the partnership for the year ended 31st December, 2007.

(2) Show Partners' current accounts and capital accounts in Balance sheet of Adil and Bilal as on 31st December 2007